

As you can see in the table, Zaria's seemingly small mistakes in the past have serious financial consequences. Even though she has only missed a few payments, a lender is now going to punish her with a painfully high 16.14% interest rate. Vivienne is more reliable, but she is still going to end up paying \$5,703 in interest over the span of five years. Because Paige has been reliable and consistent with her credit in the past, she is going to be offered the lowest interest rate, which will only cost her \$2,287 in interest over the five-year term of the loan. Essentially, Paige has been offered a \$7,000 discount on her car because she has not missed payments like her pal Zaria. It may not seem like a big deal, but even a few late payments and blemishes on your credit history can cost you hundreds of thousands of dollars. This illustrates why it is so important to take care of your credit history and keep your credit score up.